

A I T R A N S F O R M A T I O N

Streetwear E-Commerce

Germany & Europe

Prepared for Carlos & Javi · June 2026

Private & Confidential

4 AI Modules

EU Compliant

< 8 Weeks to first value

You're losing ground — here's why

C&A and Springfield are gaining share. The gap is fixable.

Cold experience



No styling guidance online. Customers leave without buying.

Low average order value



Single purchases. Limited cross-sell. AOV not growing.

Manual operations



Catalog copy, inventory, segmentation — all done by hand.

Low Customer Retention



No behaviour-based re-engagement or lifecycle marketing.

Why AI — not just more custom code?

Custom code only

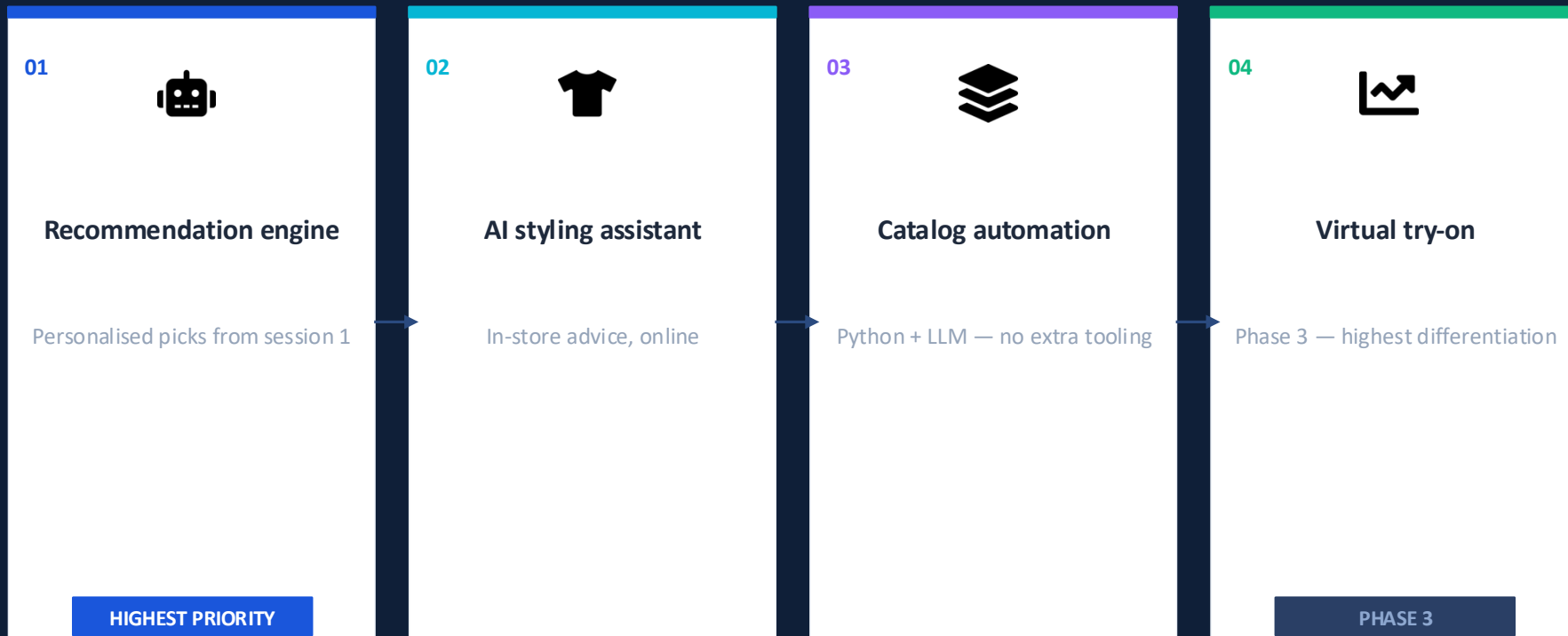
- ✓ Rules need a developer every time behaviour changes
- ✓ Can't build a natural language styling assistant
- ✓ Templates produce the generic copy Carlos wants to avoid
- ✓ Does not improve over time — static logic

AI solution

- ✓ Learns from every session — improves automatically
- ✓ Styling assistant only possible with an LLM
- ✓ Brand-voice copy, not templates
- ✓ Gets smarter without extra engineering

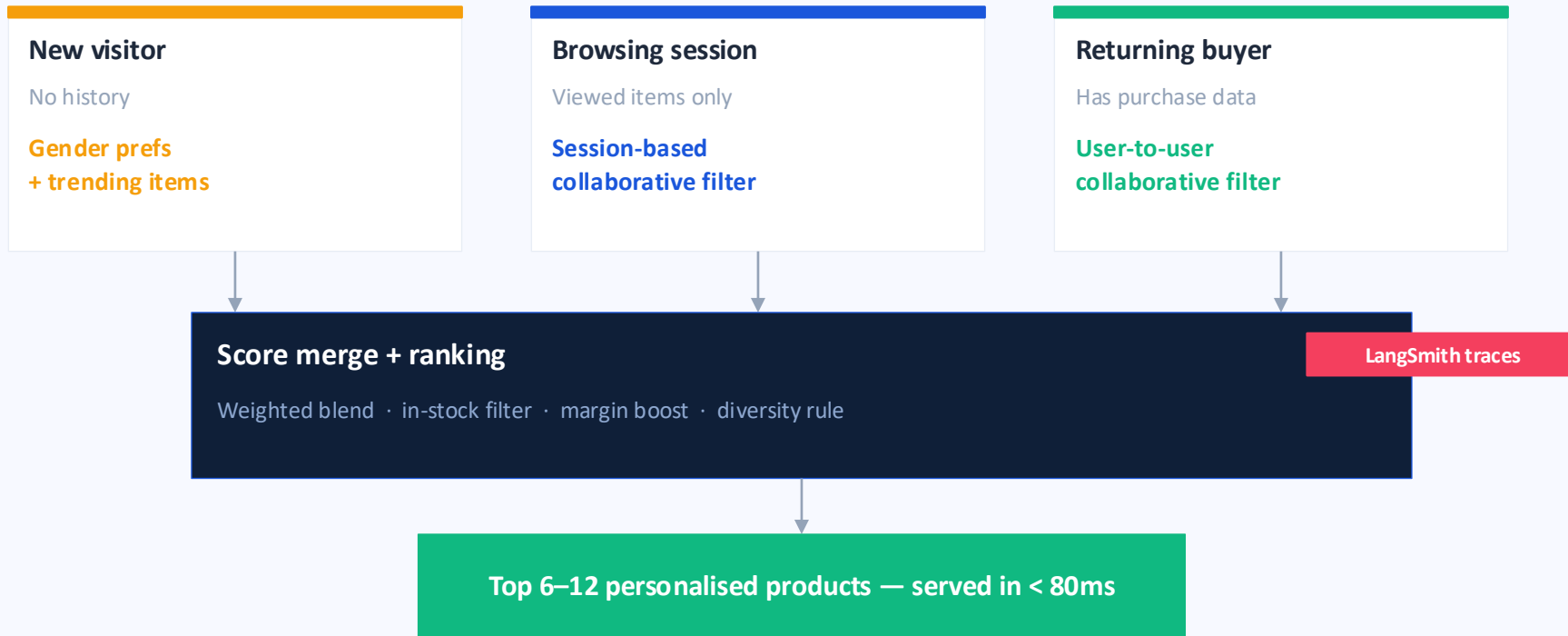
The team still owns the infrastructure. AI handles what AI does better.

Four modules — one connected experience



Recommendation engine — how it works

Personalised from session one — no purchase history required



AI styling assistant

Replicate the in-store sales assistant — online, always on

Styling assistant

What goes with the Koln hoodie?

Keep it oversized on top — slim or straight-leg jeans work best. The Dortmund cargo in olive is the closest match to that colourway right now.

Dortmund Cargo — Olive

Essen Slim — Black

Add both to cart →



Brand voice locked in

System prompt enforces tone
— Carlos controls it



Only real products

RAG pulls live catalog —
no hallucinated items



LangSmith monitored

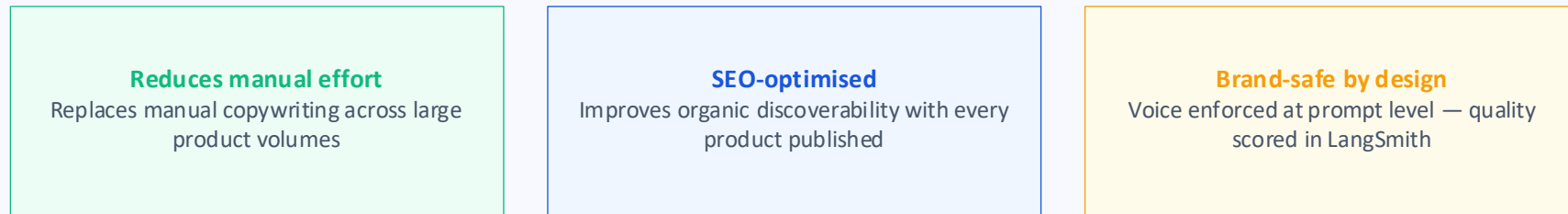
Every response scored
for tone + accuracy

Catalog automation — how it works

From product data to published copy — automated, brand-safe, human-approved



70% reduction in content creation time — brand voice enforced at prompt level



Virtual try-on

The strongest competitive differentiator — customers see the product on themselves before buying

HOW IT WORKS

1 Customer uploads a photo

Full-body or portrait. Content moderation filter runs before any processing.

2 Pose estimation + garment overlay

AI model drapes selected garment to body shape and pose.

3 Personalised visualisation delivered

Result displayed. With consent, photo stored encrypted in Frankfurt for 6 months.

4 Photo stored securely

Encrypted, Frankfurt server. Auto-deleted after 6 months. Deletable anytime.

–20–30% return rate

Customers set accurate size expectations before purchase

Highest differentiation

C&A and Springfield cannot match this without major investment

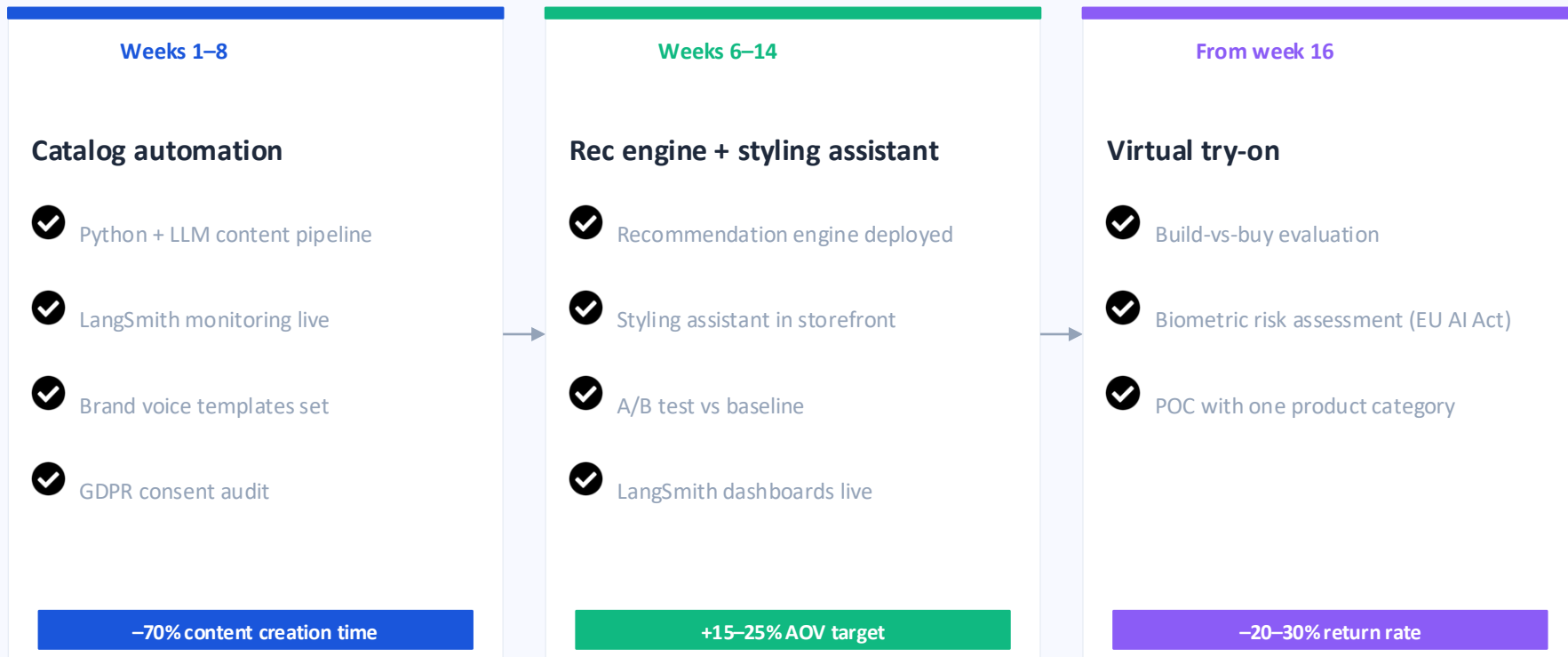
Drives retention & word-of-mouth

Memorable experience customers share — organic growth channel

NEW: Photo storage Returning customers skip re-upload. Explicit consent required. DPIA mandatory before build.

Phase 3 scope: Photo stored encrypted · Frankfurt only · 6-month retention · deleted on request · DPIA mandatory · explicit consent required · content moderation at upload

Three phases — value from week one



Phases 1 and 2 overlap — catalog automation pays for the next phase.

What does it cost?

Indicative ranges — refined once Javi confirms infrastructure specs and traffic volumes

Recommendation engine

Zero LLM API cost. Margin boost built in.

€15k–25k

build

€200–600 / mo

running

AI styling assistant

Variable LLM tokens. Cap at 5 turns/session.

€10k–18k

build

€300–1,200 / mo

running

Catalog automation

Replaces manual copywriting. Pays back in 4–6 wks.

€6k–10k

build

€50–200 / mo

running

n8n (optional)

Add later if visual workflow management needed.

€1k–3k

build

€0 (self-hosted)

running

Phase 1+2 total build: €31k–53k

Monthly running: €550–1,900

Catalog automation payback: 4–6 weeks

Three legal frameworks — all manageable

No high-risk classifications. No cross-border data flows. Frankfurt data stays in Frankfurt.

GDPR

General Data Protection Regulation

Art. 6 & 7 — Consent

Explicit opt-in for photo storage. Separate from T&Cs. Withdrawable anytime.

Art. 9 — Biometric data

Body photos = special category data. Highest protection tier. Encryption mandatory.

Art. 17 — Right to erasure

Customer deletes photo anytime. Immediate, permanent, verified. Auto-expiry at 6 months.

Art. 35 — DPIA required

Data Protection Impact Assessment mandatory before Phase 3 build begins.

Art. 13 & 14 — Transparency

Privacy notice, data retention, deletion pipeline

EU AI Act

Artificial Intelligence Act

Limited risk classification

Modules 1-3 are limited risk. No formal audit required.

Art. 52 — Transparency

Visible “AI-powered” label required on styling assistant and try-on.

Art. 5 — No emotion analysis

System must not covertly measure frustration or emotion with garments.

LangSmith audit trail

Every AI decision logged with timestamp, model version, quality score.

DSA + Consumer

Digital Services Act + Consumer Rights

No dark patterns (DSA)

Cannot pressure customers to upload or consent. No manipulative layouts.

Symmetric choice (DSA)

Declining photo storage must be as easy as accepting it.

Right of withdrawal

Brand remains liable for returns if AI sizing is faulty.

Data portability (EU Data Act)

Customers can download or transfer their stored photo and avatar data.

Front-end rules — what is and is not allowed

Applies to Module 4 (Virtual Try-On) photo upload and storage experience

Required

Explicit consent screen

Before any photo interaction. Unchecked by default. Separate from T&Cs.

Age confirmation step

Customer confirms 18+ before upload. Never assume adult.

Photo guidance + real-time validation

Fitted clothing tip. Body visibility check. Single person detection. Quality filter.

AI disclosure label (EU AI Act)

Visible “AI-powered” label. Customer must know image is synthetically altered.

Post-session confirmation + account settings

Tell customer what was stored or deleted. Link to photo management page.

Not permitted

Pre-checked consent box

Illegal under GDPR Art. 6 & 7. Checkbox must always be unchecked by default.

Blocking feature if consent declined

Session-only try-on must remain available to customers who decline storage.

Storing rejected photos

Photos rejected by moderation must be discarded immediately. Never stored.

Photos in logs or traces

Photo must never appear in LangSmith, system logs, or any audit record.

Photos outside Frankfurt (EU)

No photo transferred to any server or service outside the EU at any point.

Pre-launch compliance checklist

What must be completed before each phase goes live

Phase 1 — Weeks 1–8

Catalog automation

- ☐ Confirm pipeline logs satisfy GDPR Art. 30 record-keeping
- ☐ No personal data in LLM prompts for product descriptions
- ☐ Stand up LangSmith monitoring from day one

Phase 2 — Weeks 6–14

Rec engine + styling assistant

- ☐ Consent banner audit — legal basis for behavioural data
- ☐ Add “AI-powered” label to styling assistant widget
- ☐ Deletion pipeline live and tested for rec engine vectors
- ☐ DPA confirmed with LLM API provider

Phase 3 — From week 16

Virtual try-on + photo storage

- ☐ DPIA completed and signed off
- ☐ Consent screen UI designed and legal-reviewed
- ☐ Encrypted photo storage + 6-month auto-deletion built and tested
- ☐ Content moderation API integrated + DPA confirmed
- ☐ Privacy policy updated. Penetration test on storage.

Bottom line: No high-risk AI classifications. No cross-border data flows. Phase 1 and 2 compliance is straightforward. Phase 3 photo storage is manageable with proper legal groundwork done before build.

NEXT STEPS

Thank you

Questions or feedback? We are ready to discuss at your convenience.